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MBA (3rd Semester)

Examination, Nov-Dec., 2014

Branch : Management

CONSUMER BEHAVIOR (NEW)

Time Allowed : Three Hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note : (i) All questions are compulsory.

(ii) Attempt any two parts out of three in each question.

Q. 1. (a) Distinguish between buyer and consumer? Explain consumer buying behavior process with a suitable example.. 8

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(b) "Every consumer is unique". Comment on the statement. 8

(c) Explain consumer gifting behavior. How the understanding of this behavior will help a marketer in marketing process? 8

Q. 2. (a) What do you understand by extensive problem solving, limited problem solving and routinised response behavior? What kind of decision process can you expect in the following cases and why? 8

(1) Purchase of a greeting card for a close friend.

(2) Purchase of readymade garment.

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(b) Explain any four models of consumer behavior in detail? 8

(c) Describe the factors that affect the diffusion rate for an innovation, how can these factors be utilized in developing marketing strategy? 8

Q. 3. (a) Define personality. Explain VALS model in detail. Explain its relevance in understanding consumer behavior. 8

(b) Suppose you have won Rs. 15,000 in a lottery. The following optional uses of the money are available to you.

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(i) Buying a VCR

(ii) Go on a holiday with your family/friends

(iii) Buy shares

(iv) Buy a personal computer for use in the house

(v) Buy a membership to a club

(vi) Deposit it in a fixed deposit account.

Rank the above options in order of your preference. Try and analyse how your personal motives, attitudes personality affected your ranking. 8

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(c) Define Learning. How perceptual learning influences consumer decision making. How it can become a tool for marketer to approach consumers? 8

Q. 4. (a) Define attitude. What are the major characteristics and functions of attitudes? Explain the ELM model of attitude change with a suitable example. 8

(b) Briefly explain any one of the multiattribute models of attitudes and explain how would you use the understanding of this model in your marketing decisions? 8

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(c) Write short notes on any two of the following : 8

(1) Cognitive Dissonance Theory

(2) Measurement of Motives

(c) Consumer Motivation

Q. 5. (a) Define culture. What are the most important characteristics of culture that reflect its nature? 8

(b) Which of the stages of the family life cycle would constitute the most lucrative segment/segments for the following products and services? 8

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(i) Domino's pizza

(ii) Mobile telephones

(iii) Mutual funds

Justify your answer.

(c) Read the case study given below and answer the question at the end of the case. 8

A PRODUCT FAILURE AT SATURN

Saturn is attempting to create committed customers. Saturn, a division of General Motors, advertises around the theme : **"A different kinds of company. A different kind of car"**.

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Thought Saturn cars cost only $10,000 to $16,000, the firm attempts to provide its customers the same level of service and consideration typically associated with expensive luxury cars. Its stated objective is to be "the friendliest, best-liked car company in the world". The company states :

"We're going to do more than what the customer expects, and in the long run, I think it will enhance our image."

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Saturn's attempt to build an image of a high-quality car built by skilled, caring workers and sold in helpful, non-pressure dealerships, had received two small tests in the first two years. In one, it had to recall and replace 1,836 cars that had received improper coolant. In another, it had to repair 1,480 cars with faulty seat-back recliners. In the second case, the firm made a TV commercial showing a Saturn representative flying to location to fix the car of a resident who had purchased it in the first year of its launch.

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However, in 1993 Saturn began receiving reports of a wire short-circuiting and causing a fire. Thirty-four fires (no injuries) were reported. Saturn faced a dilemma. A recall would involve 350,000 cars and a direct expense of as much as $35 million. Any negative publicity associated with the recall could seriously depress sales. Saturn had yet to break even and General Motors was under serious financial pressure

Saturn managers decided to deal with the problem in a manner consistent with its company objective described early. It quickly

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notified all purchasers of the affected cars and asked them to contact their dealers to have the defective wire replaced at no charge. The dealerships extended their operating hours, hired extra personnel, arranged door-to-door pickup and delivery, provided free car washes, and often provided barbecues or other festivities. All the repaired cars had a courtesy card placed inside that said :

"We'd like to thank you for allowing us to make this connection today. We know an event like this will test our relationship, so

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we want to repeat to you our basic promise - that everyone at Saturn is fully committed to making you as happy a Saturn owner as we can."

According to Steve Shannon, Saturn's director of consumer marketing, the decision to handle the recall in this manner was simple.

"The measure of whether we are a different kind of company is how we handle the bad times as well as the good. We're trying to minimize the inconvenience and show that

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we stand behind the cars, so that our owners don't lose faith in us or the cars."

How have consumers responded to the recall? Mrs. Komal, a customer, learned of the recall from friends who had heard of it on news reports before she received her letter from Saturn. She took her car to the dealer who served her coffee and doughnuts during the 24-minute repair. Her response : "I expected this would be my first bad experience with Saturn. But it was so positive, I trust them even more than when I purchased the car."

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Questions :

(a) Describe the evaluative process followed by the consumers and do outcome that Mrs. Komal, went through?

(b) Evaluate the manner in which Saturn handled the recall. What options did it have?

(c) How will publicity about the recall affect Saturn's image among non-owners?

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